

**DEPARTMENT OF TRANSPORTATION
FEDERAL HIGHWAY ADMINISTRATION
JUSTIFICATION FOR OTHER THAN FULL AND OPEN COMPETITION**

1. Identification of the agency and the contracting activity

Federal Highway Administration Headquarters, Office of Acquisition and Grants Management, 1200 New Jersey Avenue, S.E., Washington, DC 20590.

- for -

The Build America Bureau, U.S. DOT Office of the Secretary (the Bureau)
1200 New Jersey Avenue, S.E., Washington, DC 20590

2. Nature and/or description of the action being approved

The Bureau has a requirement for specialized financial analysis and credit risk modeling support services to support components of its Credit Programs. Specifically, this requirement would be for unique and critical services that will support and maintain the Railroad Credit Assessment and Portfolio Management System (RCAPM) that supports the Bureau credit Office's (OST-Z20) Railroad Rehabilitation and Improvement Financing (RRIF) Program, and assists OST-Z20 in generating loan level subsidy calculations, modification cost analyses, and annual re-estimates, as well as the annual budget formulation calculations in accordance with Federal Credit Reform Act (CRA) requirements.

3. Description of the supplies or services required to meet the agency's needs (including the estimated value)

Task 1: Maintenance of Railroad Credit Assessment and Portfolio Management System

- Maintain, test, and deploy two separate RCAPM production instances (external with 2-factor auth; internal with PIV/OWIN/iCAM), plus two staging environments for each; follow Configuration Control Board (CCB) procedures for all code/data changes and facilitate internal/external testing prior to production rollout.
- Ensure error-free operation of all RCAPM modules (CRA, Re-estimate, Budget Formulation, Modification, Loan Management), provide technical support and coding fixes, and manage security remediation per severity timelines (Critical: immediate; High: 30 days; Medium: 60 days; Low: 90 days), including participation in monthly security briefings and ongoing control assessments.
- Maintain comprehensive continuity and recovery procedures to minimize downtime, participate in tabletop and full contingency exercises (failovers, backups, restorations),

and ensure compliance of contractor processes with required security assessment controls.

Task 2: Updates to the Railroad Credit Assessment and Portfolio Management System

- Ensure RCAPM credit-subsidy modules (CRA, Re-estimate, Budget Formulation) stay consistent with OMB's Credit Subsidy Calculator and update CRA inputs (discount rates, default/recovery rates, collateral haircuts, borrower rates) as required.
- Support Loan Management System data import, management, and reporting—guarantee error-free data transfer to dependent modules, implement changes for new reporting/data/import requirements and external system interfaces (Delphi, iCAM, OMB), and manage users/user groups and access.
- Perform historical default analysis ($\geq 1,000$ rated companies) to update logistic regression coefficients for the internal credit-rating model and RRIF portfolio adjustments, apply results to RCAPM, and update all supporting documentation.

Task 3: Develop and Conduct Training for RCAPM system to Bureau Personnel

- The Contractor shall develop and provide in-person training for RCAPM system to the Bureau staff on an as needed basis during the life of the contract. Training shall be provided at the Bureau site.

Task 4: Provide Modeling Support

- Consult with the Bureau on complex subsidy calculations, provide recommendations, and assist with audit responses related to the RCAPM system.
- Run subsidy scenarios (including altering technical assumptions), perform modification analyses with supporting spreadsheets, and build Excel-based models for analyses outside the RCAPM framework when needed.
- Participate in third-party meetings as requested (e.g., OMB, DOT leadership, OST, Treasury, ESC) to represent analyses and coordinate with stakeholders.

Task 5: Provide Budget Formulation, FAIC / Reestimate, and Loan Management Support

- Provide budget formulation and execution support: determine Budgetary Resources for Delphi's Budget Execution Module, produce supporting spreadsheets and an annual methodology summary, prepare Credit Supplement input for the President's Budget, and compute Financing Account Interest (FAIC) and year-end borrowings.
- Perform interest and technical re-estimates and reconciliations: run Re-estimate Module calculations with memos for the Bureau/OMB, update R-Summary for OST/OMB approval, recalculate interest/principal and revise repayment schedules on prepayments, and reconcile loans monthly between ESC and LMS.
- Support audits and portfolio actions: respond to borrower audit requests with LMS/ESC reconciliations, review requests to sell collateral for financing-agreement compliance, and implement required LMS updates.

Task 6: Ongoing RRIF Program Support

- Provide information for the preparation of the apportionments (SF-132s) to OST for OMB signature.
- Review the budget execution reports (SF-133s) on a monthly basis and reconcile against the RCAPM system.
- Work with ESC to identify unobligated balances to be transferred to the Treasury's general fund.
- Support the preparation of MAX Data based on OMB Circular A-11.
- Support of financial inquiries and payment/disbursement processing requests for the RRIF program from financial reporting team.

The total estimated amount of this anticipated contract is [REDACTED] to be expended over an 23-month period of performance.

4. Statutory authority permitting other than full and open competition

The authority to enter into a contract for this effort without full and open competition is DOT Deviation No.2025-010 dated July 24,2025, which implements the Revolutionary FAR Overhaul (RFO) Part 6 competition requirements per 6.103-1. Only one responsible source and no other supplies or services will satisfy agency requirements. This justification is prepared under the authority of 41 U.S.C. 1901. BancLab designed the subject portfolio management tool, inclusive of coding, calculations, and updates to align with Bureau practices. Searches for contractors/vendors with the requisite knowledge of the RRIF program in concert with an understanding of federal credit subsidy program reporting and having a readily available portfolio management tool for a seamless transition to the DOT and Bureau's future state (Google) operating environment revealed that BancLab is the only knowledgeable contractor that can provide this service as required and without substantive delay.

5. Demonstration that the proposed contractor's unique qualifications or the nature of the acquisition requires use of the authority cited

BancLab LLC built the RCAPM Application for the Bureau's RRIF credit program. This includes coding, subsidy calculations/interpolation, program modules, and reporting functionality that comports with the requirements of the Credit Reform Act. The Bureau relies on the functionality and unconstrained availability of RCAPM to manage its RRIF program. Only BancLab has the required knowledge and experience to support and maintain this system in the short term while the Department of Transportation transitions to Google and aligns its requirement with the OneGov initiative. This sole source award will allow time for the Government to transition this requirement to a competitive requirement in the future.

Market Research performed resulted in no other commercially available solution or vendor that provides an application with this functionality readily available and without a

requirement for extensive customization to meet the needs of the RRIF program. The time and coordination efforts required to develop and customize a comparable application will hinder the Bureau's ability to facilitate the close of RRIF projects currently in the credit review process that require financial information/parameters produced by RCAPM and/or unintentionally cause delays and inaccurate reporting of end of year calculations and audits. Due to the timeframe required and the unique qualifications of Banclab, only one source will satisfy the Government's requirement.

7. **Determination by the Contracting Officer that the anticipated cost to the Government will be fair and reasonable**

The FHWA Contracting Officer will conduct a price analysis of the contractor's proposal to ensure that all costs associated with the proposed contract are fair and reasonable.

8. **Description of the market research conducted and the results or a statement of the reason market research was not conducted**

The GSAeLibrary Contractor Listing was searched for the presence of qualified contractors using NAICS Code 541511 (Custom Computer Programming Services) and key words indicative of the knowledge and experience required to perform the services required for successful performance under this contract. No contractors were identified. Additionally, online searched for vendors providing such services supporting federal programs did not identify any sources that could meet the Bureau's immediate needs.

9. **Other facts supporting the use of other than full and open competition**

The Build America Bureau intends to recompete this requirement via full and open competition in the future. To allow for full and open competition, the Government intends to conduct an Industry Day and a request for information (RFI) notice in spring of 2026 to gain private sector perspective on required services and work elements and to help develop a competitive solicitation

10. **Listing of the sources, if any, that expressed, in writing, an interest in the acquisition.**

The Government posted a notice on SAM.gov of its intent to solicit this requirement sole source and accepted capability statements from interested vendors. One source responded with a capability statement, DreamCatchers Consulting LLC. The Government reviewed the capability statement and determined that this vendor was not capable of meeting the requirement in the timeframe required.

11. **Statement of the actions, if any, the agency may take to remove or overcome any barriers to competition before any subsequent acquisition for the supplies or services required.**

The Government will recompete this requirement using full and open competition.

12. **Certification**

I certify that the information provided in this justification is complete and accurate to the best of my knowledge and belief.

[REDACTED] [REDACTED]

[REDACTED]
[REDACTED] Management
Build America Bureau (OST-Z20)

[REDACTED]

[REDACTED] [REDACTED]

[REDACTED]
Federal Highway Administration
Office of Acquisition and Grants Management

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